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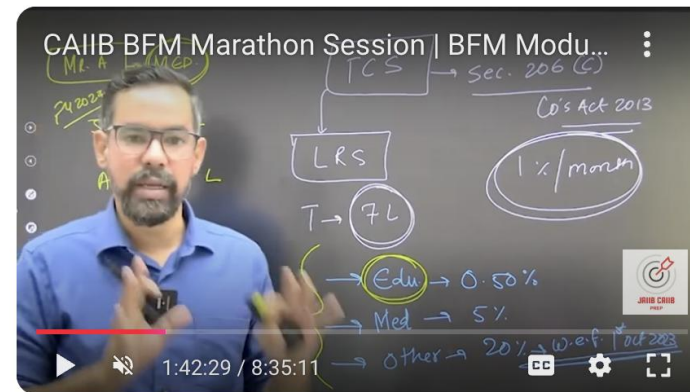
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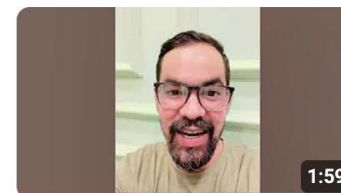


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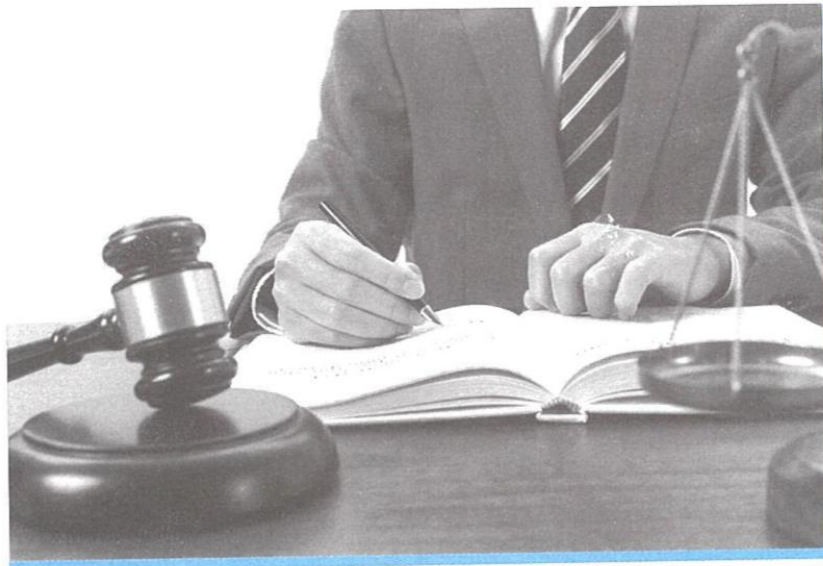


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MODULE D



COMPLIANCE IN BANKS & CORPORATE GOVERNANCE

- Unit 26.** Compliance Function in Banks
- Unit 27.** Compliance Audit
- Unit 28.** Compliance Governance Structure
- Unit 29.** Framework for Identification of Compliance Issues and Compliance Risks
- Unit 30.** Compliance Culture and GRC Framework
- Unit 31.** Compliance Function and Role of Chief Compliance Officer in NBFCs
- Unit 32.** Fraud and Vigilance in Banks



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UNIT 26

Compliance Function in Banks

STRUCTURE

- 26.0 Objectives
- 26.1 Introduction
- 26.2 Compliance Policy
- 26.3 Compliance Principles, Process and Procedures
- 26.4 Compliance Programme
- 26.5 Scope of Compliance Function
- 26.6 Role & Responsibilities of Chief Compliance Officer (CCO)

Let Us Sum Up

Q. Which of the following statements accurately reflect **the principles and regulatory implications underlying compliance risk and the compliance function** in modern banking?

1. Compliance risk is limited to reputational damage arising from internal misconduct, with no relation to external legal frameworks.
2. A comprehensive compliance function requires alignment with both internal codes of conduct and external regulatory standards.
3. Financial technology reduces the importance of compliance by automating most regulatory processes.
4. A strong compliance culture in banking includes voluntary adherence to ethical principles, even beyond what is legally required.

A. 1, and 3 only

B. 1, and 4 only

C. 1 and 4 only

D. 2, and 4 only

Answer: D

Solution:

Statement 1 – False: Compliance risk involves external legal and regulatory issues, not just internal misconduct.

Statement 2 – True: Effective compliance includes adherence to internal policies and external laws, rules, and codes.

Statement 3 – False: Fintech increases operational complexity and makes compliance more critical, not less.

Statement 4 – True: Ethical conduct and integrity are emphasized as part of a broader compliance culture, going beyond legal mandates.

Q. Which of the following **statements are TRUE?**

1. Regulatory risk involves potential financial harm only to banks, not to consumers.
2. Legal risk encompasses both violation of laws and failure to adhere to ethical and contractual standards.
3. Compliance failures can indirectly trigger reputational risk, which may lead to liquidity issues.
4. Business risk is purely external in nature and cannot be mitigated by internal changes.
5. Strategic risk involves the impact of poorly implemented decisions or failure to adapt to industry shifts.

A. 2, 3, and 4 only

B. 1, 4, and 4 only

C. 2, 3, and 5 only

D. 1, 3, and 5 only

Answer: C

Explanation:

Statement 1 – False: Regulatory risk affects both consumers and banks, not just banks.

Statement 2 – True: Legal risk includes issues related to law, ethics, and contracts.

Statement 3 – True: Compliance failure can damage reputation, which may lead to liquidity problems and operational challenges.

Statement 4 – False: Business risk may arise from both external and internal factors, and internal factors can often be corrected.

Statement 5 – True: Strategic risk is tied to poor decisions, implementation failures, or lack of responsiveness to change.

Q. Which of the following **statements are TRUE?**

1. The compliance function in a bank operates independently of its governance structure.
2. The Chief Compliance Officer (CCO) has defined roles and responsibilities that must be included in the bank's compliance policy.
3. A compliance policy should ignore voluntary codes of conduct as they are not legally binding.
4. The RBI has called for consistency in compliance approaches across banks to align with supervisory expectations.

A. 1, and 3 only

B. 1, and 4 only

C. 1 and 4 only

D. 2, and 4 only

Answer: D

Explanation:

Statement 1 – False: The compliance function is a core part of the bank's governance structure.

Statement 2 – True: The compliance policy must specify the roles and responsibilities of the CCO.

Statement 3 – False: The policy must also ensure adherence to voluntary codes of conduct, not just legal ones.

Statement 4 – True: RBI has emphasized the need for uniform and effective compliance practices.

Q. Which of the following statements about **the Compliance function are CORRECT?**

1. The Compliance department should periodically share instances of compliance failures along with prevention instructions.
2. The Chief Compliance Officer must personally conduct all compliance investigations within the bank.
3. Compliance staff should have the discretion to use external experts for investigations when necessary.

A. 1, and 3 only

B. 2, and 3 only

C. 1 only

D. 1, and 2 only



Answer: A

Solution:

Statement 1 is true; the department circulates failure instances with instructions.

Statement 2 is false; the Chief Compliance Officer does not have to conduct all investigations personally.

Statement 3 is true; external experts may be engaged at the CCO's discretion.



Q. Which of the following statements accurately **reflect regulatory expectations or operational design principles of an effective bank compliance function?**

1. Internal audit is required to review compliance controls monthly and report exceptions to the Board for corrective action.
2. Written guidance such as internal codes and compliance manuals should form part of the compliance function's advisory toolkit for senior management and staff.
3. Annual compliance risk assessment must factor in unresolved audit and regulatory findings and align future strategy with the identified deficiencies.

A. 1, and 3 only

B. 2, and 3 only

C. 1 only

D. 1, and 2 only



Answer: B

Solution:

Statement 1 – Incorrect: Internal audit does not conduct monthly reviews of compliance functions; monthly reports are submitted by the Chief Compliance Officer to senior management, and quarterly updates may go to the Board/Board Committee.

Statement 2 – Correct: The compliance function must support management through formal written guidance, including codes, manuals, and policies.

Statement 3 – Correct: The annual risk assessment must consider past compliance failures, audit observations, and align strategy accordingly.

Q. Which of the following statements are **correct regarding the compliance function and the role of the Chief Compliance Officer (CCO) in banks?**

1. A Regional Rural Bank must submit its compliance reports directly to the RBI without routing through the parent bank.
2. The CCO may be part of committees that approve purchases if only acting in an advisory capacity.
3. Internal audit serves as an assurance function over the compliance function.
4. The CCO must have at least 15 years of experience in financial services, including a minimum of 5 years in functions such as compliance, risk, or legal.

A. 1, and 3 only

B. 2, and 3 only

C. 1, 2, and 3 only

D. 2, 3 and 4 only



Answer: D

Solution:

Statement 1 is incorrect – RRBs submit compliance reports to the parent bank's CCO, not directly to the RBI.

Statement 2 is correct – CCOs may participate in committees like purchase committees only in an advisory capacity, to avoid conflict of interest.

Statement 3 is correct – The compliance function is subject to internal audit as an assurance mechanism.

Statement 4 is correct – The CCO must have at least 15 years in banking/financial services, with 5 years minimum in key functions like compliance or legal.



UNIT 27

Compliance Audit

- 27.0 Objectives
- 27.1 Introduction
- 27.2 Role of Risk Based Internal Audit and Inspection
- 27.3 Reporting Framework and Monitoring Compliance
- 27.4 Disclosure Requirements
- 27.5 Accounting Standards
- 27.6 Disclosures under Listing Regulations of Sebi

Let Us Sum Up

Q. Which of the following **statements about Risk Based Internal Audit (RBIA) are CORRECT?**

1. RBIA focuses on auditing individual risks rather than the processes managing those risks.
2. One objective of RBIA is to ensure adherence to RBI and other statutory authority guidelines.
3. Internal auditors under RBIA are responsible for reporting breaches to the bank's Chief Compliance Officer and copying the Risk Management department.
4. RBIA aims primarily at increasing the profitability of the bank by setting financial targets.
5. RBIA includes verifying whether there is any misuse of power or dereliction of duty by employees.

A. 1, 3, and 4 only

B. 2, 3, and 5 only

C. 1, 2, and 5 only

D. 2, 4, and 5 only

Answer: B

Solution:

Statement 1 is incorrect because RBIA focuses on auditing the management of risks, not the risks themselves.

Statement 2 is correct; ensuring compliance with RBI and statutory guidelines is part of RBIA objectives.

Statement 3 is correct; breaches/non-compliances are reported to the Chief Compliance Officer and Risk Management department.

Statement 4 is incorrect; RBIA's goal is risk management and control, not directly increasing profitability or setting financial targets.

Statement 5 is correct; RBIA verifies misuse of power and dereliction of duty by employees.

Q. Which of the following statements **about the internal audit function and fraud risk management are INCORRECT?**

1. The internal audit function must be permanent but can rely entirely on external experts for all audit assignments.
2. The board of directors holds ultimate responsibility for the internal audit function, even when external experts are engaged.
3. Internal auditors should conduct fraud investigations whenever fraud is suspected to avoid delays.

A. 1, and 3 only

B. 2, and 3 only

C. 1 only

D. 1, and 2 only



Answer: A

Explanation:

Statement 1 is incorrect because although some assignments may use external experts, the internal audit function must remain permanent and retain overall responsibility.

Statement 2 is correct; the board retains ultimate responsibility regardless of external involvement.

Statement 3 is incorrect; internal auditors should not investigate fraud unless they have the required expertise, to avoid conflicts of interest.

Q. Evaluate the following statements about **the Board of Directors and Audit Committee roles and identify which are INCORRECT:**

1. The Board delegates the power to review the effectiveness of the internal audit framework exclusively to the Audit Committee.
2. The Audit Committee's Chairperson must always be a member of the Board's executive management team.
3. The Audit Committee has authority to initiate inquiries and retain external experts only after obtaining prior approval from the Board of Directors.

A. 1, and 3 only

B. 2, and 3 only

C. 1 only

D. 1, and 2 only

Answer: B

Explanation:

Statement 1 is correct: The Board delegates the review of internal audit effectiveness to the Audit Committee.

Statement 2 is incorrect: The Chairperson of the Audit Committee must be independent and cannot be part of the executive management team or chair of the Board.

Statement 3 is incorrect: The Audit Committee may retain external experts after majority approval within the committee itself, without needing prior Board approval.

Q. Which of the following statements **about the Head of Internal Audit (HIA) and internal audit functions are CORRECT?**

1. The HIA must have the authority to communicate with any staff member and access all records necessary for the audit.
2. The internal audit staff's remuneration can be linked to the financial targets of the business verticals they audit.
3. Staff rotation in internal audit functions is discouraged to maintain expertise in one area.

A. 1, and 3 only

B. 2, and 3 only

C. 1 only

D. 1, and 2 only



Answer: B

Solution:

Statement 1 is true: The HIA must have authority to communicate broadly and access all relevant records.

Statement 2 is false: Remuneration should avoid being linked to business line performance to prevent conflicts of interest.

Statement 3 is false: Staff rotation is encouraged to build a broad skill set and avoid stagnation.

Q. Which of the following statements about **the compliance reporting and monitoring framework are CORRECT?**

1. The Compliance department at the Central Office receives breach reports only from the Regional and Zonal Offices, not directly from Functional departments.
2. The Risk officer uses compliance certifications from branches to randomly select branches/departments for independent compliance testing.
3. The audit department sends copies of breach reports to the Compliance department as well as to the controlling Regional/Zonal Offices.

A. 1, and 3 only

B. 2, and 3 only

C. 1 only

D. 1, and 2 only

Answer: B

Solution:

Statement 1 is incorrect because Functional departments at the Central Office also report breaches directly to the Compliance department.

Statement 2 is correct; the Risk officer selects branches/departments randomly based on compliance certification for independent testing.

Statement 3 is correct; audit departments provide breach reports both to the Compliance department and to controlling RO/ZO.

Q. Among the following statements related to **RBI's disclosure requirements for banks, which are TRUE?**

1. Urban Co-operative Banks (UCBs) are exempt from following the RBI Master Direction on Financial Statements.
2. Consolidated Financial Statements (CFS) must be prepared by all Commercial Banks including Regional Rural Banks (RRBs).
3. Banks must maintain category-wise accounts for transactions through inter-branch accounts to enable netting by category.
4. Any adjustment from the Blocked Account for inter-branch credits exceeding ₹1 lakh requires authorization from two officials, including one from the Controlling Office.

A. 3, and 4 only

B. 2, 3, and 4 only

C. 1, 2, and 4 only

D. 2, and 3 only

Answer: A

Solution:

Statement 1: False — UCBs are included and must follow RBI directions with some variations.

Statement 2: False — RRBs are exempted from preparing CFS but treated as associates in sponsor bank's CFS.

Statement 3: True — Banks are required to maintain category-wise inter-branch accounts for netting.

Statement 4: True — Adjustments from the Blocked Account over ₹1 lakh require two officials' authorization.



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Q. Which of the following statements **about accounting standards and related disclosures for banks are CORRECT?**

1. Accounting Standard 9 requires disclosure of revenue recognition postponement only when there is no significant uncertainty.
2. Segment reporting requires 'Domestic' and 'International' as the primary business segments.
3. Banks must disclose floating provisions comprehensively in the 'Notes to Accounts'.
4. Deferred tax assets and liabilities created under AS 22 have implications on capital adequacy and dividend declaration.

- A. 3, and 4 only**
B. 2, 3, and 4 only
C. 1, 3, and 4 only
D. 2, and 3 only

Answer: C

Solution:

Statement 1: True — Revenue recognition postponement must be disclosed when there is significant uncertainty.

Statement 2: False — Business segments are primary; geographical segments like Domestic and International are secondary.

Statement 3: True — Floating provisions require comprehensive disclosure in Notes to Accounts.

Statement 4: True — Deferred tax assets/liabilities under AS 22 affect capital adequacy ratio and dividend policy.

Q. Which of the following statements about **SEBI Listing Regulations and related disclosure obligations are TRUE?**

1. The listed entity must disclose changes in the rights attached to shares only after the shares are issued to investors.
2. Prior intimation to stock exchanges for board meetings involving financial results must be given at least five working days in advance, excluding the date of intimation and date of meeting.
3. Events such as issuance or forfeiture of securities must be disclosed regardless of their materiality.
4. Information on capital structures that allow disproportionate control to some shareholders must be provided to investors before they acquire shares.

A. 3, and 4 only

B. 2, 3, and 4 only

C. 1, 2, and 4 only

D. 2, and 3 only



Answer: B

Solution:

Statement 1 is false: rights attached to shares must be disclosed before investors acquire shares, not after.

Statement 2 is true: prior intimation of financial results meetings must be given at least five working days in advance excluding intimation and meeting dates.

Statement 3 is true: issuance or forfeiture of securities must be disclosed regardless of materiality.

Statement 4 is true: capital structures enabling disproportionate control must be disclosed prior to share acquisition.

UNIT 28

Compliance Governance Structure

- 28.0 Objectives
- 28.1 Introduction
- 28.2 Organisational Structure
- 28.3 Responsibility of the Board and Senior Management
- 28.4 Compliance Structure at the Corporate Office
- 28.5 Functional Departments
- 28.6 Compliance Structure at Field Levels
- 28.7 Internal Controls and its Importance

Let Us Sum Up



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Q. Which of the **following statements are TRUE?**

1. The Chief Compliance Officer must report exclusively to the Managing Director & CEO to ensure operational efficiency.
2. The Audit Committee of the Board is required to meet the CCO quarterly without the presence of senior management if the CCO reports to the MD & CEO.
3. Compliance Officers in Regional and Zonal offices report to the Managing Director directly.
4. The performance appraisal of the CCO is reviewed by the Board or the Audit Committee.
5. The compliance function's creation was largely driven by the need to avoid complexities in reporting structures, independent of any external financial scandals.

A. 1, 3, and 5 only

B. 2 and 4 only

C. 1, 2, and 3 only

D. 2, 4, and 5 only

Answer: B

Solution:

Statement 1 is false: The CCO should have direct reporting lines to the MD & CEO and/or the Board/Audit Committee, not exclusively to MD & CEO.

Statement 2 is true: The Audit Committee should meet the CCO quarterly without senior management present if the CCO reports to the MD & CEO.

Statement 3 is false: Compliance Officers at Regional/Zonal offices report directly to the CCO, not the MD.

Statement 4 is true: The Board or Audit Committee reviews the CCO's performance appraisal.

Statement 5 is false: The compliance function was largely developed as a reaction to financial scandals, not independent of them.

Q. Identify the TRUE statements regarding **the responsibilities of the Board of Directors and Senior Management in compliance:**

1. The Board must ensure compliance functions and audit functions are kept separate and that compliance undergoes an independent review at least every three years.
2. Senior management is responsible for conducting compliance risk assessments at least once a year and submitting a risk-oriented activity plan to the Audit Committee.
3. The Board is responsible for the detailed 'fit and proper' certification of candidates appointed as Chief Compliance Officer (CCO).

A. 1, and 3 only

B. 2, and 3 only

C. 1 only

D. 1, and 2 only

Answer: D

Explanation:

Statement 1: Correct — The Board must ensure the compliance and audit functions are separate and that compliance is independently reviewed at least once every three years.

Statement 2: Correct — Senior management is responsible for conducting annual compliance risk assessments and submitting a risk-oriented activity plan to the Audit Committee.

Statement 3: Incorrect — The ‘fit and proper’ certification for the CCO is provided by the MD & CEO, not directly by the Board.



Q. Consider the following statements about **the Compliance Department at the Corporate Office of a bank. Identify which of these statements are TRUE:**

1. The Chief Compliance Officer (CCO) must be at least two levels below the CEO to ensure operational independence.
2. The Compliance function staff may also be assigned audit and inspection duties to maintain efficiency.
3. Compliance officers at overseas branches are required to submit quarterly independent compliance testing reports to the Head Office.

Which of the following options is correct?

- A. 1, and 3 only**
- B. 2, and 3 only**
- C. 3 only**
- D. 1, and 2 only**

Answer: C

Explanation:

Statement 1: FALSE: The CCO should be not below two levels from the CEO — meaning at least two levels above or close to CEO rank, not below. So this statement reverses the hierarchy.

Statement 2: FALSE: Compliance staff must not be assigned audit/inspection duties to avoid conflict of interest.

Statement 3: TRUE: Overseas compliance officers do conduct independent compliance testing and submit reports quarterly.



Q. Which of the following statements about **the roles and responsibilities of Functional Departments and their designated Compliance Officers are TRUE?**

1. The designated Compliance Officer must be at least in scale IV or V and is responsible for preparing mitigation plans in coordination with the Compliance Department.
2. Functional Departments are solely responsible for compliance oversight, and the Compliance Department only acts as an advisory body with no authority for corrective action.
3. Compliance Officers are required to convert regulatory and statutory guidelines into clear actionable points, including through technology such as job cards and training.

A. 1, and 3 only

B. 2, and 3 only

C. 1 only

D. 1, and 2 only

Answer: A

Solution:

Statement 1 is correct as designated Compliance Officers must be scale IV or V and coordinate mitigation plans with the Compliance Department.

Statement 2 is false because while Functional Departments have prime responsibility for compliance in their areas, the Compliance Department has overall oversight and authority to coordinate corrective actions if serious gaps arise.

Statement 3 is correct; Compliance Officers are required to convert guidelines into clear actionable instructions disseminated through various enablers like technology, reports, and training.

Q. Which of the following statements are CORRECT with respect to **the compliance structure and responsibilities within a bank's domestic and overseas operations?**

1. At the branch level, compliance oversight is managed solely by the Compliance Department at Head Office.
2. Compliance Officers at Regional/Zonal Offices are required to escalate observed breaches immediately after discovery through audit or visit reports.
3. The Internal Control and Inspection Department at Zonal Offices has no role in compliance and only manages financial inspections.
4. Overseas Compliance Officers must submit quarterly compliance test reports to the Chief Compliance Officer at Head Office.

A. 3, and 4 only

B. 2, 3, and 4 only

C. 2, and 4 only

D. 2, and 3 only

Answer: C

Solution:

Statement 1 – Incorrect: Branch-level compliance is not solely managed by Head Office; it is primarily managed by the Branch Manager and officers who are directly responsible.

Statement 2 – Correct: Breaches identified through audit or visit reports must be immediately escalated by ZO/RO/FGMO Compliance Officers.

Statement 3 – Incorrect: The Internal Control and Inspection Department at ZOs plays a crucial role in compliance through routine inspections and is tasked with ensuring adherence to systems, procedures, and guidelines.

Statement 4 – Correct: Compliance Officers at overseas centres must conduct compliance testing periodically, preferably quarterly, and submit these reports to the CCO.



Q. Which of the following statements regarding **internal control, audit, compliance, and RBI expectations are accurate as per the detailed regulatory and operational framework for banks?**

1. Internal controls, when properly designed and executed, entirely eliminate errors, fraud, and execution risk.
2. An effective control environment incorporates external influences such as statutory audits and includes the Board's active involvement.
3. Risk assessment in internal controls only pertains to external, uncontrollable risks that are outside the bank's direct operations.
4. The control function must ensure employees in sensitive roles are absent for at least two consecutive weeks annually to support fraud detection.

A. 3, and 4 only

B. 2, and 4 only

C. 1, 2, and 4 only

D. 2, and 3 only



Answer: B

Solution:

Statement 1 – Incorrect: Internal controls reduce the likelihood of errors and fraud, but do not eliminate them. Execution risk still exists due to human factors like fatigue or distraction.

Statement 2 – Correct: The control environment includes external influences (e.g., statutory audits) and requires the Board's direction and oversight.

Statement 3 – Incorrect: Risk assessment covers both internal and external risks, controllable and uncontrollable, across all levels of banking operations.

Statement 4 – Correct: Requiring mandatory leave for sensitive roles is an internal control measure to help uncover concealed fraud or irregularities.

UNIT 29

Framework for Identification of Compliance Issues and Compliance Risks

29.0 Objectives

29.1 Introduction

29.2 Compliance Issues

29.3 Compliance Risk

29.4 Inherent Risk and Control Risk

29.5 Independent Testing and Effective Audit Programme

29.6 Reporting Framework and Monitoring Compliance

29.7 Role of Inspection and Audit

29.8 Loan Review Mechanism/Credit Audit

29.9 What is Good Compliance



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Q. Which of the following statements are **correct with regard to compliance issues?**

1. The divergence in global and local regulations primarily affects only cyber security and loan servicing policies.
2. Operational resilience requires banks to focus solely on internal risk management without external threat considerations.
3. Compliance agility includes adapting to rapid technological change and evolving consumer preferences.
4. Financial institutions are expected to integrate continuity planning with risk analysis to manage disruptions.

A. 3, and 4 only

B. 2, 3, and 4 only

C. 1, 2, and 4 only

D. 2, and 3 only



Answer: A

Solution:

Statement 1 is incorrect – The divergence affects not only cybersecurity and loan servicing, but also customer services, technological innovations, and regulatory alignments.

Statement 2 is incorrect – Operational resilience requires banks to consider both internal risks and external threats like cybercrime and environmental factors.

Statement 3 is correct – Compliance agility involves keeping up with rapid technological advances and shifting market demands.

Statement 4 is correct – Institutions are expected to adopt an integrated approach including continuity planning, operational risk, and concentration risk analysis.

Q. Which of the following statements are **TRUE regarding compliance risk management as per the Basel Committee guidance and bank procedures?**

1. The compliance function must be outsourced to ensure specialized external expertise is regularly used.
2. The Chief Compliance Officer (CCO) must maintain continuous communication with the RBI's SSM team and participate in quarterly informal discussions.
3. The compliance function is a core element of risk management and must be independent, clearly defined, and subject to internal audit.

A. 1, and 3 only

B. 2, and 3 only

C. 1 only

D. 1, and 2 only



Answer: B

Statement 1 – False: The compliance function shall not be outsourced; it must be an internal core risk management activity.

Statement 2 – True: The CCO must participate in informal quarterly discussions with the RBI and maintain ongoing communication with the SSM team.

Statement 3 – True: The compliance function must be independent, sufficiently resourced, clearly defined, and subject to independent review by internal audit.



Q. Which of the following statements are not TRUE **regarding the compliance risk management and operational risk control functions in banking?**

1. The compliance function must work under a risk-based annual programme overseen exclusively by the Internal Audit Committee.
2. Effective compliance systems prioritize measurable outcomes over procedural formality and must be fully operational within the organization.
3. Operational risk includes legal risk but excludes both reputational and strategic risks.

- A. 1, and 3 only**
- B. 2, and 3 only**
- C. 1 only**
- D. 1, and 2 only**

Answer: B

Explanation:

Statement 1 – False: The risk-based annual compliance programme is subject to oversight by the Head of Compliance, not exclusively by the Internal Audit Committee.

Statement 2 – True: Compliance systems must emphasize results, not just process.

They must be active, effective, and operational, not merely legalistic.

Statement 3 – True: Operational risk includes legal risk, but excludes reputational and strategic risks.

Q. Which of the following statements are **FALSE** regarding various types of risk and compliance functions in a banking environment?

1. Inherent risk includes all threats and vulnerabilities regardless of any security control or human intervention.
2. Residual risk is eliminated if the control risk is zero.
3. Credit risk is not affected by the financial health of the borrower once the loan is disbursed.
4. Market risk includes only interest rate and currency exchange fluctuations, not credit risks.

- A. 3, and 4 only**
- B. 2, 3, and 4 only**
- C. 1, 2, and 4 only**
- D. 2, and 3 only**

Answer: B

Solution:

Statement 1: True — Inherent risk is defined as the risk in the absence of any controls or mitigation.

Statement 2: False — If control risk is zero (i.e., perfect controls), residual risk is not necessarily zero, because inherent risk may still pose some threats. Also, control risk is a multiplier, not a subtractor.

Statement 3: False — Credit risk is directly affected by the borrower's financial condition even after disbursal.

Statement 4: False — Market risk also includes credit risk arising from market transactions.

Q. Regarding the compliance reporting **framework, analyze the following statements:**

1. Branches must submit separate quarterly certificates for overall regulatory compliance and a distinct certificate for KYC and AML compliance within 5 days after the quarter ends to the RO/ZO.
2. RO/ZO submit consolidated quarterly compliance certificates to the Compliance Department within 5 days after the quarter closes and also provide copies to the Risk Officer for random verification.
3. Functional departments at the Head Office confirm compliance based on the list of issues and circulars received during the quarter and must submit certificates within 10 days of quarter closure to the Compliance Department.
4. Overseas branches submit monthly compliance certificates only to the Chief Executive of the Centre within 5 days of month-end, without sending copies elsewhere.

Which of the following is correct?

- A. 3, and 4 only**
- B. 2, 3, and 4 only**
- C. 1, 2, and 4 only**
- D. 1, and 3 only**

Answer: D

Solution:

Statement 1 is correct: Branches submit quarterly certificates confirming overall compliance and a separate one specifically for KYC and AML within 5 days after quarter-end to RO/ZO.

Statement 2 is false: RO/ZO submit consolidated certificates within 10 days after quarter-end (not 5 days) and provide copies to the Risk Officer for random checks.

Statement 3 is correct: Functional departments submit quarterly compliance certificates within 10 days of quarter closure, based on lists of issues and circulars received.

Statement 4 is false: Overseas branches submit monthly certificates within 5 days of month-end to Compliance Department, Chief Executive of the Centre, and International Department — not only to the Chief Executive.

Q. Which of the following statements regarding **audits, inspections, and compliance in banking are correct?**

1. Risk Based Internal Audit is typically conducted by external auditors appointed by the Reserve Bank of India to ensure systemic compliance.
2. The Audit Committee is responsible for both fixing accountability of auditors for missed irregularities and sensitizing the Board about risk-prone areas.
3. Inspections are conducted primarily to detect root causes of systemic compliance failures over time.
4. The Risk Management Department at administrative offices utilizes audit reports for conducting random sample testing of compliance.
5. Forensic, Credit, System, and Foreign Exchange Audits are all examples of audits that may be part of a bank's audit function.

A. Only statements 2, 4, and 5 are correct

B. Only statements 1, 3, and 5 are correct

C. Only statements 2, 3, and 4 are correct

D. Only statements 1, 2, and 5 are correct

Answer: A

Solution:

Statement 1 – Incorrect: Risk Based Internal Audit is conducted through the bank's own Inspection and Audit Departments, not external auditors appointed by the RBI.

Statement 2 – Correct: The Audit Committee's roles include fixing accountability for missed irregularities and sensitizing the Board about risk-prone areas.

Statement 3 – Incorrect: Inspections focus on immediate issues that could cause accidents or problems, not on root causes. Audits address root causes.

Statement 4 – Correct: The Risk Management Department uses audit reporting to conduct random sample testing of compliance, confirming its role in the compliance process.

Statement 5 – Correct: These are all listed as types of audits conducted in banks, per the material.

Q. Which of the following statements are **TRUE regarding an integrated approach to Governance, Risk, and Compliance (GRC)?**

1. Compliance programs should prioritize regulatory enforcement over operational outcomes when presented to senior management.
2. Quality data derived from integrated GRC systems enables faster and more informed decision-making by management.
3. The emphasis on legal penalties as the main driver of compliance reinforces a limited, rules-based approach.

- A. 1, and 3 only**
- B. 2, and 3 only**
- C. 1 only**
- D. 1, and 2 only**

Answer: B

Solution:

Statement 1 – False: Focusing mainly on regulatory enforcement instead of operational outcomes limits the effectiveness of communicating compliance benefits to management.

Statement 2 – True: Integrated GRC improves information quality, which helps management make decisions more quickly and intelligently.

Statement 3 – True: Concentrating on legal penalties as the primary compliance driver encourages a narrow, rule-focused mindset.

UNIT 30

Compliance Culture and GRC Framework

- 30.0 Objectives
- 30.1 How to Create Compliance Culture Across the Organisation
- 30.2 Governance, Risk and Compliance – GRC Framework
- 30.3 Benefits of an Integrated GRC Approach
- 30.4 Whistle-blower Policy
- 30.5 The Components of a Whistle-blower Policy
- 30.6 Reasons for Compliance Failures

Let Us Sum Up



Q. Evaluate the following statements regarding **the creation and maintenance of compliance culture in an organization**. Identify all the statements that are correct:

1. Compliance culture primarily depends on explicit communication from senior management, while implicit cultural influences have minimal effect on employee behavior.
2. A well-established compliance culture integrates adherence not only to external regulatory requirements but also to the organization's internal policies and ethical values, thereby shaping decision-making both explicitly and implicitly.
3. Poor compliance culture is often characterized by risk management frameworks being viewed as obstacles, and a tolerance for breaching these controls to achieve short-term gains.

A. 1, and 3 only

B. 2, and 3 only

C. 1 only

D. 1, and 2 only

Answer: B

Solution:

Statement 1 is inaccurate because compliance culture relies both on explicit leadership communication and on the implicit influence of organizational values shaping decisions naturally.

Statement 2 is accurate; strong compliance culture integrates adherence to laws, internal policies, and ethics, affecting decisions both consciously and unconsciously.

Statement 3 correctly identifies poor compliance culture signs, such as treating controls as irritants and accepting breaches for short-term gain.

Q. Which of the following statements **about compliance culture and function in banks are CORRECT?**

1. The Board's oversight on compliance is effective only when it focuses on framing policies and conducting periodic reviews.
2. Business units are considered the first line of defense in owning compliance responsibilities.
3. The compliance function should be reactive, focusing primarily on identifying compliance breaches after they occur.
4. Clear communication distinguishing general standards from rules applying to specific staff groups is essential for compliance culture.

- A. 2, and 4 only**
- B. 2, 3, and 4 only**
- C. 1, 2, and 4 only**
- D. 1, and 3 only**

Answer: A

Explanation:

Statement 1 is incorrect because effective Board oversight goes beyond just framing policies and reviews; it includes promoting values through actions.

Statement 2 is correct; business units are the first line of defense.

Statement 3 is incorrect; compliance should be proactive and preventive (ex ante), not reactive.

Statement 4 is correct; clear communication differentiating standards and rules is important.



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Q. Which of the following statements about **Governance, Risk, and Compliance (GRC) processes are TRUE?**

1. Governance focuses on the strategic oversight including the integration of policies, risk management, and performance evaluation tools such as balanced scorecards and dashboards.
2. Risk management is exclusively the responsibility of specialist executives and is not integrated into long-term organizational strategies.
3. Compliance initiatives often start as projects focused on meeting regulatory deadlines but must evolve into repeatable processes to reduce ongoing costs.
4. A GRC solution integrates multiple risk management systems and supports the automation of internal operational risk processes through a single web-based platform.

A. 3, and 4 only

B. 2, 3, and 4 only

C. 1, 3, and 4 only

D. 1, and 3 only

Answer: C

Solution:

Statement 1: True. Governance includes oversight, communication of policies, enterprise risk management, and performance evaluation using scorecards and dashboards.

Statement 2: False. Risk management is not exclusively for specialists; the boards and executives require visibility, and the process is integrated into long-term strategy.

Statement 3: True. Compliance usually begins as a deadline-driven project but must become a repeatable, sustainable process to reduce costs.

Statement 4: True. GRC solutions integrate various risk systems and automate operational risk management in a unified, often web-based platform.

Q. Consider the following statements about **an integrated GRC approach**:

1. An integrated GRC approach eliminates redundant work and reduces overall costs by consolidating multiple software systems into a single platform.
2. Managing governance, risk, and compliance initiatives in silos leads to streamlined reporting and consistent documentation across the organization.
3. Deploying a single, integrated GRC system provides a “single version of the truth” that supports decision-making by employees, management, auditors, and regulatory bodies alike.

Which of the above statements are true?

- A) Only statements 1 and 3 are true
- B) Only statements 2 and 3 are true
- C) Only statements 1 and 2 are true
- D) All statements are true

Answer: A

Solution:

Statement 1 is true because an integrated GRC approach reduces redundant work and cost by consolidating multiple siloed systems into one.

Statement 2 is false because managing initiatives in silos actually causes confusion, duplication, and contradictory documentation, not streamlined or consistent reporting.

Statement 3 is true because a single integrated system ensures a “single version of the truth” accessible to all relevant stakeholders.

Q. Which of the following statements about **the whistle-blower policy** are **TRUE**?

1. An employee who fails to report a known illegal activity is considered to be engaging in unethical behavior.
2. Whistle-blowers are entitled to financial compensation for their participation in the whistleblowing process.
3. The identity of the whistle-blower must always be disclosed to the accused employee during investigation.
4. Protection under the whistle-blower policy extends to persons representing the whistle-blower in investigations or court actions.

A. 3, and 4 only

B. 2, 3, and 4 only

C. 1, 2, and 4 only

D. 1, and 4 only

Answer: D

Solution:

Statement 1 is true: Employees who knowingly do not report illegal activity are considered unethical.

Statement 2 is false: The policy explicitly states there is no provision for compensation for whistle-blowers' participation.

Statement 3 is false: Whistle-blower identity is kept confidential unless legally required to disclose.

Statement 4 is true: Protection includes persons working alongside or representing the whistle-blower.



Q. Which of the following statements about the **whistleblowing process** is/are **TRUE**?

1. The ombudsperson/CVO must prepare a written draft for every verbal complaint received.
2. False allegations made by employees or stakeholders are exempt from disciplinary action if the whistle-blower's identity is undisclosed.
3. The audit committee is responsible for keeping all investigation information confidential and sharing updates only with the board of directors.

A. 1, and 3 only

B. 2, and 3 only

C. 1 only

D. 1, and 2 only

Answer: A

Solution:

Statement 1 is true: The ombudsperson/CVO prepares a written draft for all verbal complaints.

Statement 2 is false: False allegations by any party lead to strict disciplinary action regardless of whistle-blower identity disclosure.

Statement 3 is true: The audit committee must maintain confidentiality during investigations and reports findings to the board.

Q. Consider the following statements regarding **the Public Interest Disclosure and Protection of Informers (PIDPI) Resolution, 2004** and related provisions:

1. The Central Vigilance Commission (CVC) can initiate action on complaints received even if the complainant remains anonymous.
2. The Chief Vigilance Officer (CVO) of a Ministry is authorized to act as the designated authority only for complaints related to that Ministry or its controlled entities after the 2013 amendment.
3. The identity of a whistle-blower must be disclosed to the head of the concerned department regardless of the whistle-blower's consent, to ensure proper investigation.

Which of the options is/are incorrect?

- A. 1, and 3 only**
- B. 2, and 3 only**
- C. 1 only**
- D. 1, and 2 only**

Answer: A

Solution:

Statement 1 is incorrect because anonymous complaints shall not be acted upon as per the PIDPI Resolution.

Statement 2 is correct as per the 2013 amendment which authorized CVOs to act as designated authorities for their respective Ministries/Departments.

Statement 3 is incorrect because the identity of the complainant will not be revealed unless the complainant has disclosed it voluntarily. The head of the department must keep the informant's identity secret if known.

UNIT 31

Compliance Function and Role of Chief Compliance Officer in NBFCs

STRUCTURE

- 31.0 Objectives
- 31.1 Introduction
- 31.2 Framework for Scale Based Regulation for Non-Banking Financial Companies
- 31.3 Transition Path
- 31.4 Framework for Compliance Function and Role of Chief Compliance Officer in Non-Banking Financial Companies in Upper Layer and Middle Layer (NBFC-UL & NBFC-ML)
- 31.5 Broad Contours of Compliance Framework in NBFCs



Q. Which of the following statements regarding **the Scale-Based Regulatory (SBR) Framework for NBFCs is/are correct?**

1. NBFCs not availing public funds and not having any customer interface are classified under the NBFC-Middle Layer.
2. All Standalone Primary Dealers (SPDs), regardless of their asset size or deposit-taking status, are included in the NBFC-Upper Layer.
3. The NBFC-Top Layer is populated only if the Reserve Bank observes a significant increase in potential systemic risk from entities in the NBFC-Upper Layer.
4. A parametric scoring methodology with 70% weight to quantitative factors and 30% to qualitative factors is used to determine inclusion in the NBFC-Upper Layer.

A. Only statements 1, 2, and 4

B. Only statements 2 and 4

C. Only statements 3 and 4

D. Only statements 2 and 3

Answer: C

Solution:

Statement 1 – Incorrect: NBFCs not availing public funds and not having any customer interface are placed in the Base Layer, not the Middle Layer.

Statement 2 – Incorrect: Standalone Primary Dealers (SPDs) are included in the Middle Layer, not automatically in the Upper Layer.

Statement 3 – Correct: The Top Layer is populated only if the Reserve Bank identifies substantial systemic risk from NBFCs in the Upper Layer.

Statement 4 – Correct: The parametric scoring methodology for NBFC-Upper Layer identification indeed assigns 70% to quantitative and 30% to qualitative parameters.

Q. Consider the following **statements regarding NBFCs**:

1. NBFC-D and HFCs may be placed in the Base Layer if their scale of operations is small and they do not access public funds.
2. NBFC-P2P, despite engaging in customer-facing operations, will always remain in the Base Layer under SBR.
3. NBFC-MFIs operating in the North Eastern Region have a lower NOF requirement as part of the glide path, but must still reach ₹10 crore by March 31, 2027.

Which of the above statements are correct?

- A. 1, and 3 only**
- B. 2, and 3 only**
- C. 1 only**
- D. 1, and 2 only**

Answer: B

Explanation:

Statement 1 – Incorrect: NBFC-D and HFCs cannot be placed in the Base Layer. As per SBR, they are to be placed in the Middle or Upper Layers only.

Statement 2 – Correct: NBFC-P2P, despite being customer-facing, is mandatorily placed in the Base Layer as per the activity-based classification.

Statement 3 – Correct: NBFC-MFIs in the North Eastern Region have a lower NOF requirement in the interim, but they must still achieve the full ₹10 crore by March 31, 2027.

3. Which of the following statements regarding **the regulatory and governance guidelines under SBR applicable to NBFC-UL and other NBFC categories** is/are TRUE?

1. NBFC-UL must maintain a Common Equity Tier 1 capital of at least 9% of Risk Weighted Assets, and a leverage ratio ceiling will be prescribed only when deemed necessary.
2. The concentration limit for a single borrower or party exposure is 15% of Tier 1 capital, while the total exposure limit for a single group of borrowers/parties is 40% of Owned Fund.
3. Exposure to capital markets and commercial real estate are treated as Sensitive Sector Exposures (SSE), with Board-approved internal limits mandated separately for each sector.

A. 1, and 3 only

B. 2, and 3 only

C. 1 only

D. 1, and 2 only

Answer: A

Explanation:

Statement 1: True — NBFC-UL must maintain 9% CET1, and leverage ceilings will be prescribed as necessary.

Statement 2: False — The concentration limit for a single borrower or party exposure is 25% of Tier 1 capital (not 15%), and limits are with respect to Tier 1 capital, not Owned Fund.

Statement 3: True — Capital market and commercial real estate are Sensitive Sector Exposures requiring Board-approved internal limits separately.

Q. Which of the following statements **are factually and procedurally correct according to the compliance framework for NBFCs?**

1. The Compliance Department's organizational structure may differ across NBFCs, but it must undergo a peer-reviewed audit by an external firm every year.
2. The CCO, if reporting to the MD & CEO, must meet the Board/Board Committee quarterly, even in the presence of the MD & CEO.
3. The Compliance Function must be staffed with personnel knowledgeable in law, accounting, risk, and IT, and succession planning must be ensured.
4. If the CCO is part of a committee involved in sanctions, it must be purely in an advisory capacity.

- A. 3, and 4 only**
- B. 2, 3, and 4 only**
- C. 1, 2, and 4 only**
- D. 1, and 4 only**

Answer: A

Solution:

Statement 1 – Incorrect: There is no requirement for external firm audits; the Compliance Function must undergo periodic and independent internal review, and be part of the internal audit risk framework.

Statement 2 – Incorrect: If the CCO reports to the MD & CEO, the Board must meet the CCO without the presence of the MD & CEO — this ensures independence and candor in discussions.

Statement 3 – Correct: The Compliance Function must have staff knowledgeable in statutory/regulatory prescriptions, law, accountancy, risk management, and IT, with succession planning in place.

Statement 4 – Correct: The CCO must not participate in any committee involving conflict, such as sanctions/purchases — if included, the role must be advisory only.

UNIT 32

Fraud and Vigilance in Banks

STRUCTURE

- 32.0 Objectives
- 32.1 Definition of Fraud
- 32.2 Definition of Forgery
- 32.3 Areas in which Frauds are Committed in Banks
- 32.4 Banking and Cyber Frauds
- 32.5 Fraud Reporting and Monitoring System
- 32.6 Vigilance Function in Banks
- 32.7 RBI Guidelines for Private Sector and Foreign Banks on Internal Vigilance

Let Us Sum Up



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Q. Consider the following statements related to **the definition and treatment of fraud and forgery under Indian law and banking regulation**:

1. As per Section 17 of the Indian Contract Act, fraud includes a statement of fact believed to be true, even if later found false.
2. Under Section 447 of the Companies Act, a person can be guilty of fraud even if there is no wrongful gain or wrongful loss.
3. The Indian Penal Code defines fraud as any act that causes injury, regardless of the intention behind it.
4. According to RBI guidelines, manipulation of books of accounts may be classified as fraud only when it results in a proven monetary loss.

Which of the above statements are incorrect?

- A. 3, and 4 only
- B. 2, 3, and 4 only
- C. 1, 3, and 4 only
- D. 1, and 4 only

Answer: C

Solution:

Statement 1 – Incorrect: Section 17 of the Indian Contract Act defines fraud as a suggestion of a fact not believed to be true by the person stating it. So, merely stating something false is not fraud unless the person knows or believes it to be false.

Statement 2 – Correct: Section 447 of the Companies Act clarifies that a person can commit fraud regardless of whether there is wrongful gain or wrongful loss. Intent to deceive is sufficient.

Statement 3 – Incorrect: IPC Section 25 emphasizes intent to defraud. Injury alone without intent is not enough.

Statement 4 – Incorrect: RBI includes manipulation of books of accounts as fraud

Q. Which of the following statements are **TRUE regarding the various types and facilitators of frauds in banks?**

1. Fraudulent discounting of instruments and kite flying are methods used by borrowers to obtain unauthorized credit.
2. Unscrupulous staff members have misused dormant mobile wallet accounts due to absence of nomination facility.
3. SIM swapping fraud is typically carried out by bank insiders who clone mobile applications.
4. Falsified export documents such as airway bills and customs orders are used to obtain illegitimate export credits.

A. 3, and 4 only

B. 2, 3, and 4 only

C. 1, 2, and 4 only

D. 1, 2 and 4 only

Answer: D

Explanation:

Statement 1 — True: Fraudulent discounting and kite flying are indeed listed as common fraudulent practices by borrowers.

Statement 2 — True: Employees have exploited the absence of nominee information in dormant mobile wallets to siphon off funds.

Statement 3 — False: SIM swapping is carried out by fraudsters impersonating telecom executives, not by bank insiders using cloned apps.

Statement 4 — True: Forging export-related documents is one of the listed techniques used to commit fraud.

Q. Which of the following statements **about cyber threats and frauds in the context of digital banking are TRUE?**

1. DDoS attacks typically cause permanent damage to the target system's infrastructure.
2. In a replay attack, the attacker intercepts and retransmits valid data to deceive the receiver.
3. Spear phishing is a type of social engineering that targets a specific individual or organization.
4. Trojan viruses are harmless unless accompanied by ransomware.

- A. 2, and 3 only**
- B. 2, 3, and 4 only**
- C. 1, 2, and 4 only**
- D. 1, and 4 only**

Answer: A

Explanation:

Statement 1 is False – DDoS attacks aim to disrupt services temporarily; they do not cause permanent infrastructure damage.

Statement 2 is True – In a replay attack, the attacker captures valid data and resends it to trick the receiver into unauthorized actions.

Statement 3 is True – Spear phishing is a highly targeted form of phishing directed at specific individuals or organizations.

Statement 4 is False – A Trojan is malicious even without ransomware; it can create backdoors and allow remote access to the system.



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Q. Consider the following six statements related **to fraud reporting and monitoring as per RBI guidelines**. Identify which of these statements are TRUE:

1. Banks must submit Fraud Monitoring Returns (FMR) electronically within 21 calendar days of fraud detection, regardless of the amount involved.
2. Banks are required to report attempted frauds involving ₹1 crore and above to RBI immediately upon detection.
3. Flash Reports (FR) must be submitted within one week for frauds involving ₹50 million and above, addressed to the PCGM/CGM-in-Charge, DBS, RBI, Mumbai.
4. The Central Fraud Registry (CFR) database replaced the paper-based issuance of Caution Advices (CAs), which are no longer issued under any circumstances.

- A. 3, and 4 only**
B. 1 and 3 only
C. 1, 2, and 4 only
D. 1, and 4 only

Answer: B

Solution:

Statement 1: True — FMR must be furnished electronically within 21 calendar days from detection regardless of amount.

Statement 2: False — Attempted frauds of ₹1 crore and above need not be reported to RBI but should be placed before the Audit Committee of the Board.

Statement 3: True — FR must be submitted within one week for frauds ₹50 million and above, addressed to the PCGM/CGM-in-Charge, DBS, RBI, Mumbai.

Statement 4: False — Paper-based Caution Advices have been discontinued but are still issued when systemic implications arise.

Q. Consider the following statements regarding **the Monitoring System and the Special Committee of the Board (SCBF) in banks**:

1. All frauds of ₹0.1 million and above must be reported promptly to the Board, and the report should include details of failures by branch officials as well as actions taken against them.
2. The quarterly review of frauds presented to the Audit Committee excludes the quarter ending December, as it is covered in the annual review.
3. The Special Committee of the Board is required to monitor and review frauds involving ₹10 million and above and includes five members, among whom are the MD/CEO and RBI nominee.

Which of the above statements is/are CORRECT?

- A. 1, and 3 only**
- B. 2, and 3 only**
- C. 1 only**
- D. 1, and 2 only**

Answer: A

Solution:

Statement 1: Correct. Frauds of ₹0.1 million and above must be promptly reported to the Board, including details of failures and actions taken.

Statement 2: Incorrect. Quarterly review excludes the March quarter (not December), since March is covered in the annual review.

Statement 3: Incorrect. The Special Committee includes MD/CEO and two members from the Audit Committee and two other board members excluding the RBI nominee. RBI nominee is not part of the Special Committee.

Q. Consider the following statements **about vigilance functions in banks**:

1. Preventive vigilance primarily focuses on identifying and punishing officials involved in fraudulent activities.
2. Detective vigilance involves the scrutiny of audit and inspection reports to detect malpractices.
3. Punitive vigilance aims to set up systems and procedures to avoid wrongdoing before it happens.
4. The Central Vigilance Cell (C.V. Cell) in RBI coordinates vigilance activities and liaises with the Central Vigilance Commission (CVC).
5. Two-factor authentication (2FA) is a preventive vigilance measure used specifically to mitigate phishing attacks in electronic banking.

Which of the above statements are TRUE?

- A) Only 2, 4, and 5
- B) Only 1, 3, and 5
- C) Only 2 and 4
- D) Only 3 and 5

Answer: A

Solution:

Statement 1 is false: Preventive vigilance focuses on preventing wrongdoing, not punishing—it is punitive vigilance that deals with punishment.

Statement 2 is true: Detective vigilance involves using audit and inspection reports to detect corrupt practices.

Statement 3 is false: Setting up systems and procedures to avoid wrongdoing is the role of preventive vigilance, not punitive vigilance. Punitive vigilance deals with investigation and action against offenders.

Statement 4 is true: The C.V. Cell coordinates vigilance work and maintains liaison with CVC and CBI.

Statement 5 is true: 2FA is a key preventive measure to protect against phishing attacks in electronic banking.



11. Which of the following statements are incorrect regarding **the role, appointment, and functions of the Chief of Internal Vigilance (CIV) in private sector and foreign banks, as per RBI guidelines?**

1. The CIV functions independently of the CEO and reports only to the Board to maintain impartiality.
2. CIVs are required to confine their duties only to vigilance-related work, with no involvement in any administrative matters.
3. The CIV is responsible for both preventive and punitive vigilance, as well as surveillance and detection.

A. 1, and 3 only

B. 2, and 3 only

C. 1 only

D. 1, and 2 only

Answer: D

Solution:

Statement 1 – Incorrect: The CIV works in coordination with the CEO and may report to the Board, but does not function completely independently. He acts as a special advisor to the CEO

Statement 2 – Incorrect: CIVs are expected not to be involved in vigilance-sensitive administrative functions, but may handle work such as inspection or audit which can support vigilance.

Statement 3 – Correct: The CIV's scope includes preventive vigilance, punitive vigilance, and surveillance/detection.



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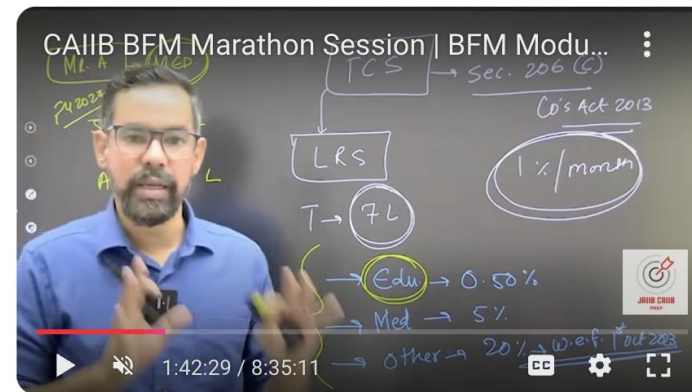
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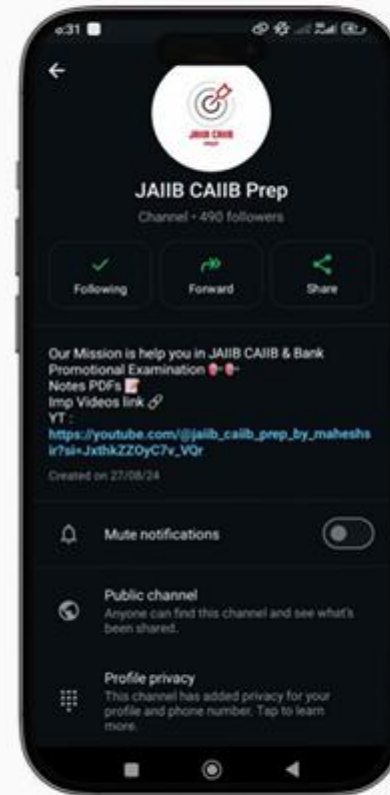


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